

MSFT Investment Memo

Microsoft Corporation (NASDAQ: MSFT) | 2026-07-02

The Business in 30 Seconds

Microsoft is a diversified enterprise-software and cloud-infrastructure giant operating three segments — Productivity and Business Processes (M365, LinkedIn, Dynamics), Intelligent Cloud (Azure, server products), and More Personal Computing (Windows, Gaming, Search) — generating \$281.7 billion in FY2025 revenue with a 45.6% operating margin, now making an unprecedented AI infrastructure capex bet that has compressed free cash flow and triggered the stock's worst monthly decline since December 2000.

What's Going Right

The core enterprise-software business keeps strengthening. Productivity and Business Processes operating margin expanded every year — 53.2% (FY2023) → 55.9% (FY2024) → 57.8% (FY2025) [MSFT_10K_FY2025.htm, Note 18].

Azure continues taking relative share. (Note: from external source) Azure grew ~40% YoY in Q3 FY2026, versus AWS's ~19% — though Google Cloud's ~63% YoY growth suggests a genuine three-way race, not a simple Microsoft-vs-Amazon story.

Capital return remains disciplined. Diluted share count has declined consistently (7,472M → 7,469M → 7,465M, FY2023-FY2025) [MSFT_10K_FY2025.htm], and the dividend has grown double-digits annually for three straight years (\$0.68 → \$0.75 → \$0.83/quarter).

Valuation has compressed to the cheapest level among mega-cap tech peers. (Note: from external source) Forward P/E of 20.75x versus Apple's 32.32x and Alphabet's 28.82x — an unusual position for Microsoft historically.

AI revenue is scaling rapidly on a standalone basis. (Note: from external source) AI business surpassed a \$37 billion annual revenue run-rate in Q3 FY2026, +123% YoY.

What Could Go Wrong

Free cash flow is declining even as profit grows. FCF fell from \$74.1bn (FY2024) to \$71.6bn (FY2025) [MSFT_10K_FY2025.htm] as capex growth (\$20.1bn increase) outpaced operating cash flow gains — and (Note: from external source) this gap widened further in Q3 FY2026 specifically (FCF of \$15.8bn vs. net income of \$31.8bn that quarter, down from \$20.3bn FCF a year earlier).

Intelligent Cloud margin is compressing, not expanding, despite the fastest segment growth. Operating margin fell from 43.2% (FY2024) to 42.0% (FY2025) [MSFT_10K_FY2025.htm, Note 18] — the clearest filing-level evidence that AI infrastructure investment has not yet converted to proportionate profit in the segment most central to the AI thesis.

Capex is accelerating further, not moderating. From \$28.1bn (FY2023) to \$64.6bn (FY2025), and (Note: from external source) guided to ~\$190 billion for calendar 2026 — a scale of spend among the largest of any single company globally.

OpenAI exclusivity — the strongest disclosed AI-specific moat asset — is reported externally to be in question. [MSFT_10K_FY2025.htm, Item 1] describes the OpenAI API as "exclusive to Azure," but (Note: from external source, unconfirmed in filings) 2026 reporting describes a restructuring toward non-exclusive terms, while OpenAI is separately reported to represent ~45% of Azure's backlog and to be diversifying its own cloud footprint.

Copilot commercial monetization remains low relative to the investment scale. (Note: from external source) reported at only ~3.3-4.4% penetration of the Microsoft 365 commercial base, prompting reported forced-deployment tactics rather than organic adoption.

The stock has meaningfully underperformed despite strong reported growth. (Note: from external source) MSFT is down roughly 18-24% over the trailing year versus the S&P 500's +24-25% — a 30-40+ percentage point relative underperformance gap.

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Revenue (\$M)	281,724	245,122	211,915
Revenue Growth	+14.9%	+15.7%	—
Operating Income (\$M)	128,528	109,433	88,523
Operating Margin	45.6%	44.6%	41.8%
Net Income (\$M)	101,832	88,136	72,361
FCF (calculated, \$M)	71,611	74,071	59,475

Metric	FY2025	FY2024	FY2023
Capex (\$M)	64,551	44,477	28,107
Total Debt (\$M)	43,151	51,630	47,237
Cash + ST Investments (\$M)	94,565	75,543	111,262
Diluted Shares (M)	7,465	7,469	7,472
Microsoft Cloud Revenue (\$M)	168,900	137,700	111,600

Source: [MSFT_10K_FY2025.htm], Consolidated Financial Statements and Note 18.

Valuation

Multiple	Value	Context
Trailing P/E	22.89x	(external — compressed from ~30.1x earlier in 2026)
Forward P/E	20.75x	(external — cheapest among mega-cap tech peers)
EV/EBITDA	15.73x	(external)
Dividend Yield	0.95%	(external)

Scenarios (see [[Valuation Check]] for full assumptions):

Scenario	Fair Value	Return
Bull	~\$560	+46%
Base	~\$456	+19%
Bear	~\$306	-20%

Moat Assessment

Source	Rating
Switching costs	Strong
Network effects	Moderate
Cost advantages	Strong

Source	Rating
Intangible assets	Strong (OpenAI-exclusivity component uncertain)
Efficient scale	Moderate
Trajectory	Stable, with a capex-driven margin question

Decision

Current stance: Monitor

Microsoft is a fundamentally different risk profile than a single-product growth story: its core enterprise-software business is large, diversified, and genuinely still strengthening on the numbers, its balance sheet is a fortress (net cash position, modest debt), and its valuation has compressed to the cheapest level among mega-cap tech peers — a combination that provides real downside support. But the AI capex bet is not yet proven at the P&L level: Intelligent Cloud margin is compressing rather than expanding despite the fastest segment growth, free cash flow is declining even as profit grows, and the single most valuable disclosed AI-specific moat asset (OpenAI exclusivity) is subject to real, unresolved external reporting the filings cannot confirm or deny. The market's severe 2026 reaction — occurring despite repeated beat-and-raise quarters — suggests this is a genuine, evidence-supported concern rather than simple overreaction. The July 28, 2026 Q4 earnings release is a near-term, well-defined catalyst that should meaningfully clarify whether the capex-to-cash-flow conversion story is turning a corner or continuing to deteriorate.

Key triggers to watch: - Q4 FY2026 earnings (July 28, 2026) — is free cash flow stabilizing or continuing to decline? - Any management clarification of OpenAI/Azure contract terms - Whether Intelligent Cloud segment margin resumes expanding - Copilot commercial-penetration trend, given reported forced-deployment tactics

Key risks to monitor: - Industry-wide AI infrastructure overbuild (not unique to Microsoft, but Microsoft's capex is among the largest in absolute dollar terms) - Further erosion of OpenAI relationship exclusivity/strategic value - Continued Copilot monetization lag despite heavy investment - Regulatory exposure across the EU AI Act, EU DMA/DSA, and U.S. antitrust simultaneously

Sources: MSFT Form 10-K filings (FY2023-FY2025, filed with the SEC July 2023/2024/2025), MSFT Q3 FY2026 earnings release (April 29, 2026, external source), external market data (stockanalysis.com, CNBC, Futurum Group, various news sources). All financial metrics cited from filings unless explicitly flagged as external data.